

2.4 Making financial decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank

Each entry shows the original paper pages (the entire question — case study extract, data tables, figures, and the question itself) followed by the mark scheme answer for that specific sub-question.

- **Total questions:** 25
- **Total marks:** 46
- **Sub-topics covered:** 2
- **Original PDF pages embedded:** 78

By series:

- **Specimen SAMs:** 2 questions
- **June 2019:** 4 questions
- **Nov 2020:** 3 questions
- **Nov 2021:** 5 questions
- **June 2022:** 4 questions
- **June 2023:** 3 questions
- **June 2024:** 4 questions

2.4.1 Business calculations (18 questions)

Specimen SAMs · Paper 2 · Q2(c) · \$A

Calculate

2 marks

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 47 (SPECIMEN SAMS PAPER 2)

Question number	Indicative content	Mark
7(e) Evaluate	• Entrepreneurs use market research to identify gaps in the market (AO1b). • Some small businesses can suffer at times when consumer income is falling (AO1b). • Sally has conducted some primary research into competitors in her local area (as evidenced in Figure 6) and identified a gap in the market identified for personal trainers (AO2). • As unemployment is rising and consumer income is falling, Sally's potential customers are likely to spend less on fitness and other non-essential services (AO2). • Sally plans to differentiate her business through the use of social media and technology. This will help her to create a USP which would appeal to younger market segments and help her business stand out from competitors (AO3a). • Sally currently has the security of a well-paid job but if she did not get enough customers in the short term she may find that she does not have enough income. If she chooses to be a sole trader, unlimited liability will mean her personal possessions are at risk (AO3a). • As there are just two main competitors in this market, Sally's business idea has a good chance of success. By creating a USP based around technology, she has a good opportunity to differentiate her business from rival personal trainers (AO3b). • The success of the business idea depends on some factors that are beyond Sally's control. However, if Sally gains a reputation as an excellent personal trainer the degree to which these factors will reduce her success are limited (AO3b).	(12) AO1b=3 AO2=3 AO3a=3 AO3b=3

Substitution into correct formula: $(£90\,000/£300\,000) \times 100$ (1). Answer: 30% (1). Award full marks for correct numerical answer without working. Do not award a mark for 30 if the correct unit (%) is not stated.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 49 (SPECIMEN SAMS PAPER 2)

Please check the examination details below before entering your candidate information

Candidate surname					Other names				
Centre Number					Candidate Number				

Pearson Edexcel Level 1/Level 2 GCSE (9–1)

Sample assessment materials for first teaching September 2017

Time 1 hour 45 minutes

Paper reference **1BS0/02**

Business
PAPER 2: Building a business

You must have:
Source Booklet (enclosed)

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- There are **three** sections in this paper.
- Answer **all** the questions in the spaces provided
– *there may be more space than you need.*
- Calculators may be used.
- You are advised to **show all your working out** with **your answer clearly identified** at the **end of your solution**.

Information

- The total mark for this paper is 90.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ►

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Pearson Edexcel Level 1/Level 2 GCSE (9–1) in Business – Sample assessment materials
Issue 2 – March 2023 © Pearson Education Limited 2023

43

Substitution into correct formula: $\text{£}500 \times (3000 + 5000 + 4000) (1)$. Answer: $\text{£}6\,000\,000 (1)$. Award full marks for correct numerical answer without working.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (JUNE 2019 PAPER 2)

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3 (a) Which **one** of the following is a barrier to international trade?

Select **one** answer.

(1)

- ☐ A Aesthetics
- ☐ B Ethics
- ☐ C Tariffs
- ☐ D Trade-offs

Figure 1 shows the sales revenue of a business over three years.

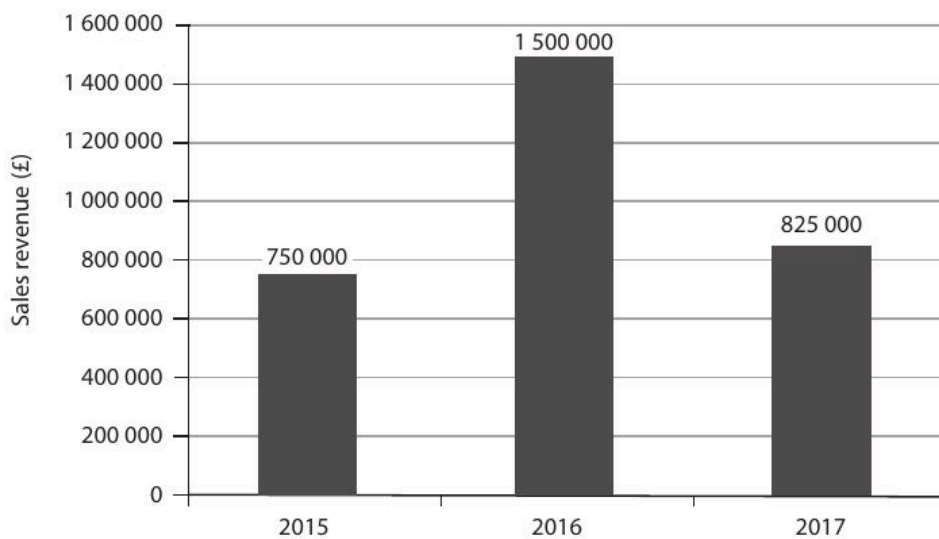


Figure 1

(b) Using the information in Figure 1, calculate the percentage increase in sales revenue from 2015 to 2016. You are advised to show your workings.

(2)

..... %



7

Turn over ►

(c) Explain **one** method a business could use to differentiate its product.

(3)

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(d) Explain **one** possible barrier to effective communication within a business.

(3)

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(e) Discuss the impact on a business of giving employees permanent contracts.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Substitution into correct formula: $((£1\,500\,000 - £750\,000) / £750\,000) \times 100$ (1). Answer: 100% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (JUNE 2019 PAPER 2)

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- 5 Table 2 contains information about *Mind Candy's* performance in 2013.

Sales revenue	£30 560 692
Gross profit	£22 190 385
Other operating expenses and interest	£25 044 332

(Source: adapted from <https://beta.companieshouse.gov.uk/company/05119483/filing-history>)

Table 2

- (a) Using the information in Table 2, calculate *Mind Candy's* cost of sales. You are advised to show your workings.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, *Mind Candy's* gross profit margin. You are advised to show your workings.

(2)

..... %



P 5 9 9 2 6 A 0 1 3 2 4

13

Turn over ►

As a result of the problems it faced in 2013, *Mind Candy* changed its main business objective from growth to survival.

- (c) Analyse the impact on *Mind Candy* of changing its main business objective to survival.

(6)

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(Total for Question 5 = 10 marks)



Substitution into correct formula: £30 560 692 - £22 190 385 (1). Answer: £8 370 307 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2020 PAPER 2)

2 (a) Which **two** of the following are external sources of finance?

(2)

Select **two** answers.

- ☐ A Loan capital
- ☐ B Retained profit
- ☐ C Sales revenue
- ☐ D Selling assets
- ☐ E Share capital

(b) Which **two** of the following are methods of external growth for a business?

(2)

Select **two** answers.

- ☐ A Improve promotion
- ☐ B Innovation
- ☐ C Merger
- ☐ D Research and development
- ☐ E Takeover

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Table 1 contains financial information about the performance of a business.

Sales revenue	£625 000
Cost of sales	£145 000
Other operating expenses and interest	£200 000

Table 1

- (c) Using the information in Table 1, calculate the gross profit made by the business.
You are advised to show your workings.

(2)

£

- (d) Explain **one** benefit to a business of withdrawing a product when it enters the decline phase of its product life cycle.

(3)

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Turn over ►

(e) Explain **one** benefit to a business from improving the aesthetic element of a product's design mix.

(3)

(Total for Question 2 = 12 marks)

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Substitution into correct formula: £625,000 - £145,000 (1). Answer: £480,000 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2020 PAPER 2)

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3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ **A** Product knowledge
- ☐ **B** Product quality
- ☐ **C** Production
- ☐ **D** Productivity

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products.

Sales revenue for products X, Y and Z in 2018

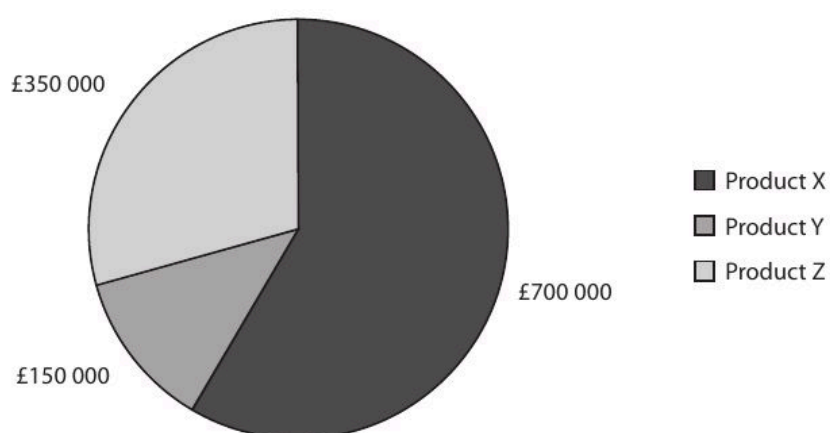


Figure 1

(b) Using the information in Figure 1, calculate, to 2 decimal places, the percentage of total sales revenue made by product X in 2018. You are advised to show your workings.

(2)

.....%



7

Turn over ►

(c) Explain **one** drawback to a business from differentiating its product.

(3)

(d) Explain **one** impact on a business from increased globalisation.

(3)

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(e) Discuss the impact on a business of becoming a public limited company (plc).

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



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Turn over ►

Substitution into correct formula: $(£700,000 \div (£700,000 + £150,000 + £350,000)) \times 100$ (1). Answer: 58.33% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2021 PAPER 2)

2 (a) Which **two** of the following are examples of goods?

(2)

Select **two** answers.

- ☐ A Cars
- ☐ B Education
- ☐ C Hairdressing
- ☐ D Televisions
- ☐ E Train journeys

(b) Which **two** of the following would allow a business to improve employee retention?

(2)

Select **two** answers.

- ☐ A Decreased remuneration
- ☐ B Excessive communication
- ☐ C Introducing job rotation
- ☐ D Providing training
- ☐ E Reduced employee autonomy

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Table 1 contains financial information about a business.

Sales revenue	£800 000
Cost of sales	£225 000
Gross profit	£575 000
Other operating expenses and interest	£200 000

Table 1

(c) Using the information in Table 1, calculate the net profit of the business.

(2)

£

(d) Explain **one** reason why aesthetics may be important in the design mix of a product.

(3)



P 6 6 4 7 9 A 0 5 2 4

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Turn over ►

(e) Explain **one** drawback to a business of introducing a system of quality assurance.

(3)

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(Total for Question 2 = 12 marks)



Substitution into correct formula: £575 000 - £200 000 (1). Answer: £375 000 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (NOV 2021 PAPER 2)

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- 5 Table 2 contains information about the price of a *Tesla* Model 3 car between 2017 and 2019.

Year	Price (in US\$)
2017	50 000
2018	41 000
2019	35 000

Table 2

- (a) Using the information in Table 2, calculate the percentage reduction in the price of a *Tesla* Model 3 car between 2017 and 2019.

(2)

..... %

- (b) Using the information in Table 2, calculate the average price of a *Tesla* Model 3 car over the three year period between 2017 and 2019.

(2)

£



P 6 6 4 7 9 A 0 1 3 2 4

(c) Analyse the impact on *Tesla* of increasing levels of globalisation.

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(Total for Question 5 = 10 marks)

14



Substitution into correct formula: $((\$50\,000 - \$35\,000) / \$50\,000) \times 100$ (1). Answer: 30% or -30% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (NOV 2021 PAPER 2)

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- 5 Table 2 contains information about the price of a *Tesla* Model 3 car between 2017 and 2019.

Year	Price (in US\$)
2017	50 000
2018	41 000
2019	35 000

Table 2

- (a) Using the information in Table 2, calculate the percentage reduction in the price of a *Tesla* Model 3 car between 2017 and 2019.

(2)

..... %

- (b) Using the information in Table 2, calculate the average price of a *Tesla* Model 3 car over the three year period between 2017 and 2019.

(2)

£



P 6 6 4 7 9 A 0 1 3 2 4

(c) Analyse the impact on *Tesla* of increasing levels of globalisation.

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(Total for Question 5 = 10 marks)



Substitution into correct formula: $(\$50\,000 + \$41\,000 + \$35\,000) / 3$ (1). Answer: \$42 000 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 5, 6, 7 (JUNE 2022 PAPER 2)

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2 (a) Which **two** of the following are stages of the product life cycle?

(2)

Select **two** answers.

- ☐ A Birth
- ☐ B Cancellation
- ☐ C Decline
- ☐ D Growth
- ☐ E Marketing

(b) Which **two** of the following are elements of the design mix?

(2)

Select **two** answers.

- ☐ A Cost
- ☐ B Function
- ☐ C Materials
- ☐ D Price
- ☐ E Quality



P 6 5 5 6 3 A 0 5 2 8

5

Turn over ►

Table 1 contains information about a new piece of machinery that a business wants to purchase.

Average annual profit	£200 000
Cost of new machine	£200 000

Table 1

(c) Using the information in Table 1, calculate the average rate of return.

(2)

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(d) Explain **one** advantage to a business of having motivated employees.

(3)

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P 6 5 5 6 3 A 0 7 2 8

7

Turn over ►

Substitution into correct formula: $(£200\,000 \div £200\,000) \times 100$ (1). Answer: 100% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 8, 9, 10 (JUNE 2022 PAPER 2)

3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ A Advertising
- ☐ B Customer engagement
- ☐ C Product quality
- ☐ D Use of different payment systems

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020.

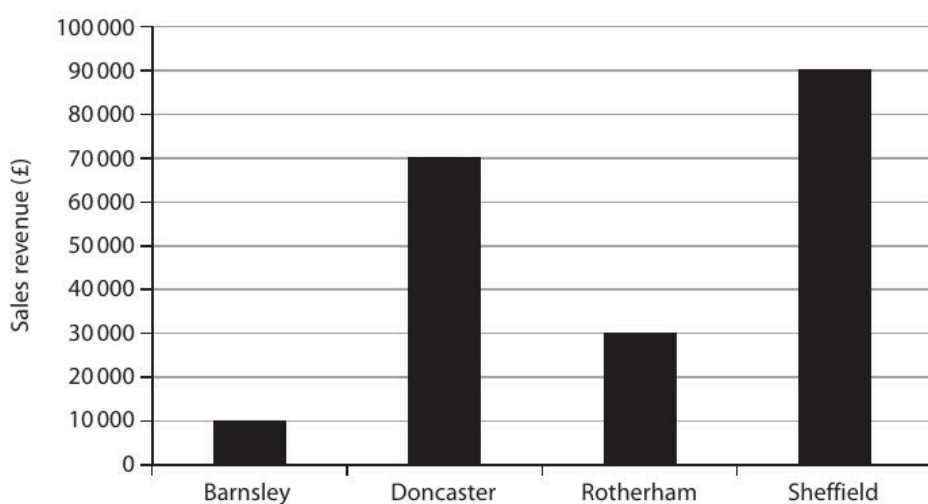


Figure 2

(b) Using the information in Figure 2, calculate the average sales revenue for this business in 2020. You are advised to show your workings.

(2)

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(c) Explain **one** method that a business could use to reduce its environmental impact.

(3)

(d) Explain **one** method that a business could use to extend the life cycle of one of its products.

(3)



P 6 5 5 6 3 A 0 9 2 8

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Turn over ►

(e) Discuss the impact on a company of using retained profit as a source of finance for expansion.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

10



P 6 5 5 6 3 A 0 1 0 2 8



Substitution into correct formula: $(£10\,000 + £70\,000 + £30\,000 + £90\,000) \div 4$ (1). Answer: £50 000 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 14, 15 (JUNE 2022 PAPER 2)

5 Table 2 contains information about *Greggs'* financial performance in 2018.

	£ (000)
Sales revenue	1 029 347
Cost of sales	373 487
Other operating expenses and interest	573 292
Net profit	82 568

Table 2

(a) Using the information in Table 2, calculate *Greggs'* gross profit.

(2)

£

(b) Using the information in Table 2, calculate to 2 decimal places, *Greggs'* net profit margin.

(2)

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(c) Analyse the impact on *Greggs* from improving its logistics.

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(Total for Question 5 = 10 marks)

15

Turn over ►



Substitution into correct formula: £1 029 347 000 - £373 487 000 (1). Answer: £655 860 000 (1). Accept any answers and workings that do not include 000. Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 14, 15 (JUNE 2022 PAPER 2)

5 Table 2 contains information about *Greggs'* financial performance in 2018.

	£ (000)
Sales revenue	1 029 347
Cost of sales	373 487
Other operating expenses and interest	573 292
Net profit	82 568

Table 2

(a) Using the information in Table 2, calculate *Greggs'* gross profit.

(2)

£

(b) Using the information in Table 2, calculate to 2 decimal places, *Greggs'* net profit margin.

(2)

.....%

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(c) Analyse the impact on *Greggs* from improving its logistics.

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(Total for Question 5 = 10 marks)

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Turn over ►



Substitution into correct formula: $(£82\,568\,000 \div £1\,029\,347\,000) \times 100$ (1). Answer: 8.02% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (JUNE 2023 PAPER 2)

- 2 (a) Which **two** of the following are documents produced by a business at the start of the recruitment process?

(2)

Select **two** answers.

- ☐ A Application form
- ☐ B Curriculum vitae (CV)
- ☐ C Job autonomy
- ☐ D Letter of application
- ☐ E Person specification

- (b) Which **two** of the following are services?

(2)

Select **two** answers.

- ☐ A Accountancy
- ☐ B Biscuits
- ☐ C Furniture
- ☐ D Hairdressing
- ☐ E Shoes

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Table 1 contains financial information about a business.

	£
Sales revenue	900 000
Cost of sales	325 000
Other operating expenses and interest	175 000
Net profit	400 000

Table 1

- (c) Using the information in Table 1, calculate to 2 decimal places, the net profit margin.

(2)

.....%

- (d) Explain **one** disadvantage to a business of using loan capital as a source of finance.

(3)



P 7 1 0 6 0 A 0 5 2 4

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Turn over ►

(e) Explain **one** reason why a business may decide to reduce the size of its workforce.

(3)

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(Total for Question 2 = 12 marks)



Substitution into correct formula: $(£400\,000 \div £900\,000) \times 100$ (1). Answer: 44.44% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 12, 13, 14, 26 (JUNE 2023 PAPER 2)

- 5 Table 2 contains information about the price of an annual supermarket delivery pass in 2020.

	£
Asda	55
Morrisons	65
Ocado	110
Sainsbury's	60

Table 2

(Source: adapted from <https://www.lovemoney.com/guides/3444/cheapest-supermarket-online-delivery-deals-asda-tesco-iceland-cost>)

- (a) Using the information in Table 2, calculate the average price of an annual supermarket delivery pass.

(2)

£



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Table 3 contains information about *Ocado's* financial performance in 2019.

	£ million
Cost of sales	1 164.8
Gross profit	591.8
Other operating expenses and interest	916.9
Net profit	(325.1)

Table 3

(Source: adapted from <https://www.ocadogroup.com/investors/annual-report-2019>)

- (b) Using the information in Table 3, calculate *Ocado's* sales revenue in 2019.
You are advised to show your workings.

(2)

£ million

13

Turn over ►



(c) Analyse the benefit to Ocado of using new technology in its warehouses.

(6)

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(Total for Question 5 = 10 marks)



SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



Figure 3: An Ocado 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service.

In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from <https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon> and <https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html>)



Substitution into correct formula: $(£55 + £65 + £110 + £60) \div 4$ (1). Answer: £72.50 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 12, 13, 14, 26 (JUNE 2023 PAPER 2)

- 5 Table 2 contains information about the price of an annual supermarket delivery pass in 2020.

	£
Asda	55
Morrisons	65
Ocado	110
Sainsbury's	60

Table 2

(Source: adapted from <https://www.lovemoney.com/guides/3444/cheapest-supermarket-online-delivery-deals-asda-tesco-iceland-cost>)

- (a) Using the information in Table 2, calculate the average price of an annual supermarket delivery pass.

(2)

£

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Table 3 contains information about *Ocado's* financial performance in 2019.

	£ million
Cost of sales	1 164.8
Gross profit	591.8
Other operating expenses and interest	916.9
Net profit	(325.1)

Table 3

(Source: adapted from <https://www.ocadogroup.com/investors/annual-report-2019>)

- (b) Using the information in Table 3, calculate *Ocado's* sales revenue in 2019.
You are advised to show your workings.

(2)

£ million



P 7 1 0 6 0 A 0 1 3 2 4

13

Turn over ►

(c) Analyse the benefit to Ocado of using new technology in its warehouses.

(6)

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(Total for Question 5 = 10 marks)



SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



Figure 3: An Ocado 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service.

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In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from <https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon> and <https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html>)



Substitution into correct formula: £1 164.8m + £591.8m (1). Answer: £1 756.6 million (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 11, 12, 26 (JUNE 2024 PAPER 2)

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- 5 Table 2 shows the price of items in an order placed by a customer at *Popeyes*.

Item	Price (£)
Chicken sandwich	6.50
Chicken wings	6.25
Original biscuit	1.00
Mac and cheese	3.50
Coca-Cola classic	2.75

Table 2

- (a) Using the information in Table 2, calculate the average price of the items ordered by the customer.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, the percentage of the total order spent on Chicken wings.

(2)

.....%



P 7 5 5 2 6 A 0 1 1 2 4

11

Turn over ►

(c) Analyse the drawback to *Popeyes* from trying to improve productivity.

(6)

Handwriting practice lines for the answer.

(Total for Question 5 = 10 marks)

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SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes*' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.



(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)



Substitution into correct formula: $(£6.50 + £6.25 + £1.00 + £3.50 + £2.75) \div 5$ (1). Answer: £4 (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 11, 12, 26 (JUNE 2024 PAPER 2)

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Original biscuit	1.00
Mac and cheese	3.50
Coca-Cola classic	2.75

Table 2

- (a) Using the information in Table 2, calculate the average price of the items ordered by the customer.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, the percentage of the total order spent on Chicken wings.

(2)

.....%



P 7 5 5 2 6 A 0 1 1 2 4

11

Turn over ►

(c) Analyse the drawback to *Popeyes* from trying to improve productivity.

(6)

Handwriting practice lines for the answer.

(Total for Question 5 = 10 marks)

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SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes*' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.



(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)



Substitution into correct formula: $\pounds 6.25 \div (\pounds 6.50 + \pounds 6.25 + \pounds 1.00 + \pounds 3.50 + \pounds 2.75) \times 100$ (1). Answer: 31.25% (1). Award full marks for correct numerical answer without working.

2.4.2 Understanding business performance (7 questions)

June 2019 · Paper 2 · Q2(c) · \$A

Calculate

2 marks

Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (JUNE 2019 PAPER 2)

- 2 (a) Which **two** of the following are likely to be sent to a business by a person applying for a job?

Select **two** answers.

(2)

- ☐ A Application form
- ☐ B CV
- ☐ C Job advert
- ☐ D Job description
- ☐ E Person specification

- (b) Which **two** of the following are likely to increase the productivity of a business?

Select **two** answers.

(2)

- ☐ A Excessive communication
- ☐ B Pressure groups
- ☐ C Retraining employees
- ☐ D Increased product range
- ☐ E Introducing new technology

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Table 1 contains information about a new piece of machinery that a business wants to purchase.

Average annual profit	£100 000
Cost of new machine	£400 000

Table 1

- (c) Using the information in Table 1, calculate the average rate of return. You are advised to show your workings.

(2)

..... %

- (d) Explain **one** benefit to a business of having a good relationship with its suppliers.

(3)



5

Turn over ►

(e) Explain **one** advantage to a business of improving its environmental sustainability.

(3)

(Total for Question 2 = 12 marks)

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Substitution into correct formula: $(£100\,000 / £400\,000) \times 100$ (1). Answer: 25% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (JUNE 2019 PAPER 2)

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- 5 Table 2 contains information about *Mind Candy's* performance in 2013.

Sales revenue	£30 560 692
Gross profit	£22 190 385
Other operating expenses and interest	£25 044 332

(Source: adapted from <https://beta.companieshouse.gov.uk/company/05119483/filing-history>)

Table 2

- (a) Using the information in Table 2, calculate *Mind Candy's* cost of sales. You are advised to show your workings.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, *Mind Candy's* gross profit margin. You are advised to show your workings.

(2)

..... %



P 5 9 9 2 6 A 0 1 3 2 4

13

Turn over ►

As a result of the problems it faced in 2013, *Mind Candy* changed its main business objective from growth to survival.

- (c) Analyse the impact on *Mind Candy* of changing its main business objective to survival.

(6)

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(Total for Question 5 = 10 marks)



Substitution into correct formula: $(£22\,190\,385 / £30\,560\,692) \times 100$ (1). Answer: 72.61% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (NOV 2020 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, *Iceland* enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million.

Iceland believes this success has been due to improved marketing. It has introduced new products using the *Slimming World* and *Millie's Cookies* brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal *Iceland* store which allows them to stock more luxury products. *Iceland* hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores.



© Dom J/Shutterstock

In 2018, *Iceland* received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper,



as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed *Iceland's* decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that *Iceland's* decision will be repeated by other supermarkets in the UK.

Figure 3: *Iceland's* new packaging

(Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

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7 (a) Define the term **pressure group**.

(1)

Figure 4 shows information about the change in *Iceland's* sales revenue between 2013 and 2017.

Percentage change in sales revenue 2013 to 2017

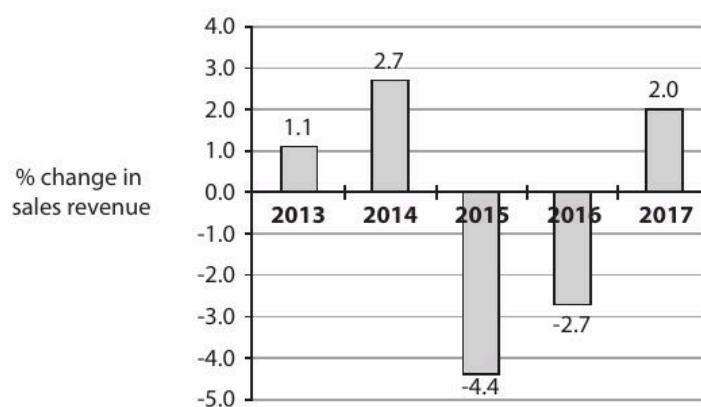


Figure 4

(Source: <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

(b) Using the information in Figure 4, identify the year with the smallest percentage change in *Iceland's* sales revenue.

(1)



P 6 1 6 4 7 A 0 1 9 2 4

(c) Outline **one** factor that could influence *Iceland's* choice of pricing strategy for its range of new products.

(2)

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In order to recruit employees for its new 'The Food Warehouse' stores, *Iceland* is considering two options:

Option 1: offer permanent contracts

Option 2: offer temporary contracts.

(d) Justify which **one** of these two options *Iceland* should choose.

(9)

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21

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- (12)



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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (NOV 2021 PAPER 2)

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6 (a) State **one** impact to *Tesla* of continuing to make a loss.

(1)

(b) Outline **one** drawback to *Tesla* of a government introducing tariffs on imports from the US.

(2)



P 6 6 4 7 9 A 0 1 5 2 4

15

Turn over ►

In order to raise the finance for its new Chinese factory, *Tesla* is considering two options:

Option 1: share capital

Option 2: loan capital.

(c) Justify which **one** of these two options *Tesla* should choose.

(9)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 6 6 4 7 9 A 0 1 7 2 4

17

Turn over ►

Award 1 mark for stating one impact to Tesla if it continues to make a loss.

It will not be able to build the new factory in Shanghai (1).

Its net cash flow will fall below \$2.4 billion (1).

It may not be able to reduce the price of a car to \$35 000 (1).

Accept any other appropriate response. Do not accept impacts that are not in the context of Tesla. For example, making staff redundant.

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (NOV 2021 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an ASOS warehouse

customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website.

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'.

The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver



Figure 5: ASOS's Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers.

(Source: adapted from <https://jilt.com/upsell/asos-shipping-logistics/> and <https://sproutsocial.com/insights/social-media-marketing-examples/>)



- 7 (a) Give **one** element of the marketing mix.

(1)

Figure 6 shows the ASOS share price over time.

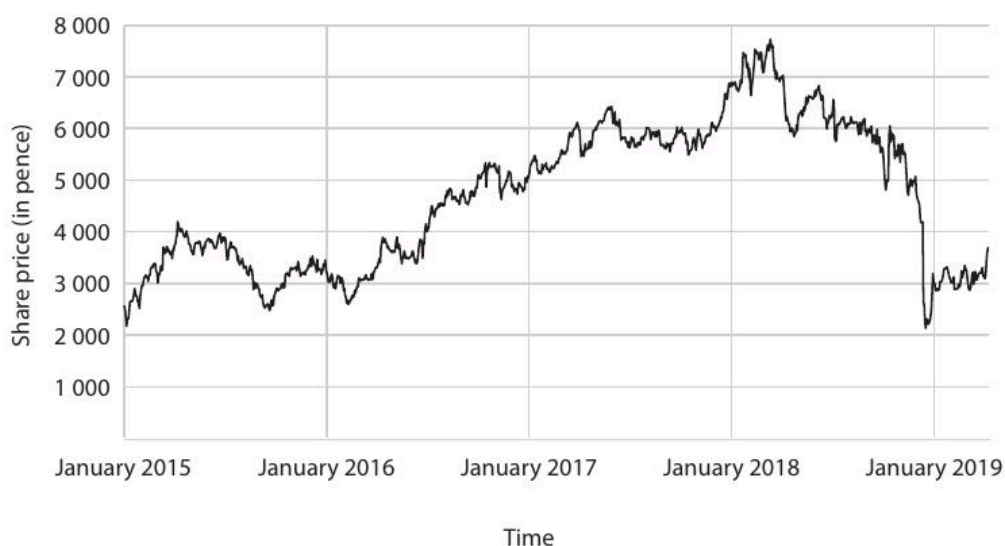


Figure 6

(Source: adapted from <https://www.asosplc.com/investors/share-price/share-price-chart>)

- (b) Using the information in Figure 6, identify the year when the ASOS share price was higher than £70.

(1)



(c) Outline **one** advantage to ASOS of increasing the range of products offered for sale on its website.

(2)

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In order to increase its profits, ASOS is considering two options:

Option 1: lower prices

Option 2: advertise on more social media channels.

(d) Justify which **one** of these two options ASOS should choose.

(9)

Handwriting practice lines for the answer.



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- (e) Evaluate whether high quality logistics will give ASOS a competitive advantage.
You should use the information provided as well as your knowledge of business.

(12)



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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS

TOTAL FOR PAPER = 90 MARKS



Look at this sub-question (Q2(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2024 PAPER 2)

- 2 (a) Which **two** of the following documents would be sent to a business by a person when applying for a job?

(2)

Select **two** answers.

- ☐ A Application form
- ☐ B Curriculum vitae (CV)
- ☐ C Job description
- ☐ D Performance review
- ☐ E Person specification

- (b) Which **two** of the following are stages in the sales process?

(2)

Select **two** answers.

- ☐ A Customer engagement
- ☐ B Longer opening hours
- ☐ C Market data
- ☐ D Product knowledge
- ☐ E Product promotion

Table 1 contains information about a machine that a business is considering purchasing.

Total profit from the machine	£500 000
Length of time the business will own the machine	5 years
Cost of the machine	£200 000

Table 1

- (c) Using the information in Table 1, calculate the average rate of return for the machine.

(2)

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(d) Explain **one** method a business could use to improve the quality of its products.

(3)

(e) Explain **one** disadvantage to a business of having a flat organisational structure.

(3)

(Total for Question 2 = 12 marks)



5

Turn over ►

Substitution into correct formula: $((£500\,000 \div 5) \div £200\,000) \times 100$ (1). Answer: 50% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 16, 17, 18, 19, 20, 21, 27 (JUNE 2024 PAPER 2)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.

- 7 (a) Give **one** non-financial method to motivate employees in a business.

(1)

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019.

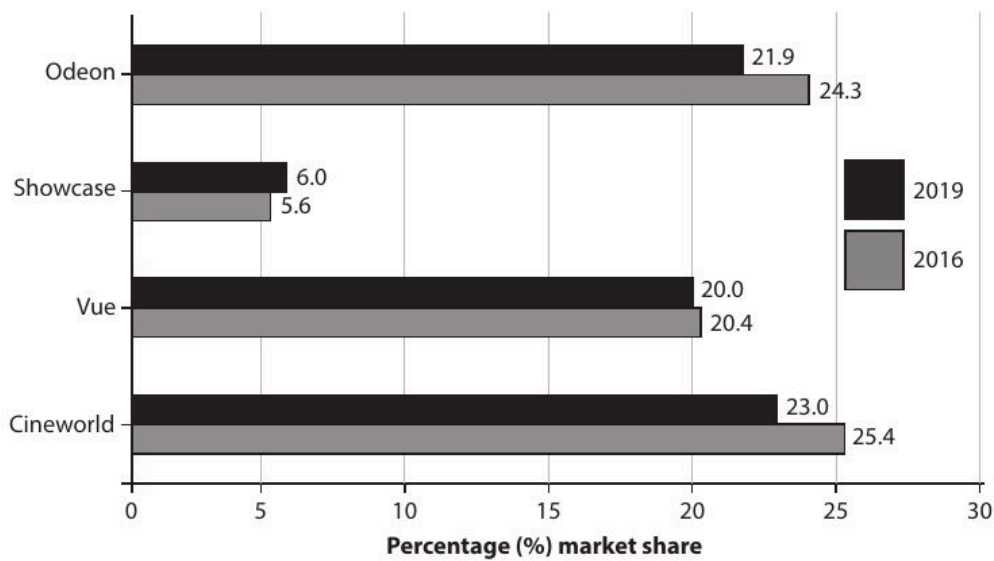


Figure 4

(Source: <https://www.bfi.org.uk/industry-data-insights/statistical-yearbook-2017-and-2020>)

- (b) Using the information in Figure 4, identify the only cinema chain that increased its market share in 2019.

(1)



(c) Outline **one** likely responsibility for a manager of a *Cineworld* cinema.

(2)

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(e) Evaluate the importance of charging lower prices to allow *Cineworld* to return to profit. You should use the information provided as well as your knowledge of business.

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie.

In 2019, *Cineworld* had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at *Cineworld* cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive.

These factors led to *Cineworld* making a £537 million loss in 2022, leaving the company close to failure. The *Cineworld* share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments.



(Source: Chaz Bharj / Alamy Stock Photo)

Figure 3

Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, *Cineworld* has so far refused to do this. It still charges £18.69 for its most expensive tickets.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

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Showcase.